

Year	Cash Flows	Discounted Cash Flows		
1	\$20.00	\$19.61	\$19.51	\$19.42
2	\$20.00	\$19.22	\$19.04	\$18.85
3	\$20.00	\$18.85	\$18.57	\$18.30
4	\$20.00	\$18.48	\$18.12	\$17.77
5	\$20.00	\$18.11	\$17.68	\$17.25
6	\$20.00	\$17.76	\$17.25	\$16.75
7	\$20.00	\$17.41	\$16.83	\$16.26
8	\$20.00	\$17.07	\$16.41	\$15.79
9	\$20.00	\$16.74	\$16.01	\$15.33
10	\$1,020.00	\$836.76	\$796.82	\$758.98
Bond Price:		\$1,000.00	\$956.24	\$914.70
Price Change:		0.0%	−4.4%	−8.5%

The yield to maturity can differ from the coupon rate as bonds are bought and sold at prices other than face value, exposing the investor to *interest rate risk*—the risk that a bond price will fall due to rising interest rates.

Coupon rates are one of the most confusing aspects of bonds for people to understand. When the bond is issued, it pays a set coupon rate. For a regular Treasury bond, if the coupon rate is 2 percent and face value is \$1,000, then the bond pays coupons of \$20 per year. Usually these are paid semiannually—two coupon payments of \$10 in this case. Note: the coupon rate *never* changes. Interest rates can change, but that will affect the yield, not the coupon rate. If interest rates rise, then the price the bond can be sold at will decrease, raising the underlying yield to maturity to match the increasing interest rate. But if I buy a \$1,000 face value bond on the secondary market for only \$700 and it has a 2 percent coupon, it is important to understand that my coupon income will be based on 2 percent of \$1,000, not 2 percent of \$700. Though this may seem basic and simple as I explain it, it has proved to be a major source of confusion.